

Iversen and Soskice 2019 RG Notes

Iversen, Torben, and David Soskice. *Democracy and Prosperity: Reinventing Capitalism through a Turbulent Century*. Princeton: Princeton University Press, 2019.

1 Main Idea

2 General Notes

- “As we see it, the advanced capitalist democracies, for all their instability and social problems not least at present, have been remarkably resilient and effective over this whole period. What we want to understand in the book is what mechanisms have driven that resilience and effectiveness over this long century.” Creating a framework of capitalism within advanced economies; the core analyzed outcome is democratic resilience.
- Paints an opposing system to prominent claims that market capitalism has “beat” democracy, instead saying that democracy has evolved to encompass markets but been almost strengthened through it (VERY similar to the Levy 2006 argument)
- “In our framework theory advanced capitalism is driven by the advanced democratic nation-state: democracy drives advanced capitalism. And in this process the autonomy of the advanced nation-state has increased even as globalization and mutual dependence have risen.” Three elements of the reinforcing relationship between democracy and capitalism:
 1. The role of government is central to facilitating effective capitalism and maximally free markets... “Capitalism left to itself will hardly choose to operate in a competitive environment.”
 2. Parties to be electable have a reputation for managing advanced capitalism effectively
 3. Advanced capital is geographically embedded in the advanced nation-state rather than footloose (considering human and information capital rather than raw resources, for example)
- New cleavage between knowledge economy and low-productivity labor markets, yet claims it to not be a fundamental democratic threat – largely because of the maintained prominence of the middle class and the consistent need for parties to secure its vote

- Democracy creates the conditions necessary for advanced markets to thrive
- Central issue regards the presence/nature of the median voter: are they within the middle class or the lower class? If in the middle class, then democracy and capitalism become self-sustaining and symbiotic, as the median voter is likely to support capitalistic endeavors. (Can also be fueled by the *expectation* that one's children will have the opportunity to benefit through capitalistic endeavors)
 - Further assumes that this is generally the case in advanced democracies: “In our model a central component is that the large skilled workforces of the advanced sectors of the economy, and the aspirational voters who seek to join these workforces, have interests aligned with the promotion and success of advanced capitalist sectors, and are generally decisive voters.”

3 Important Specific Factual Claims

- End with a chapter about AI, though book was written in 2019 – good discussion of emerging fronts
- Does NOT model capital as mobile, but rather as sticky: claims that this geographical rooting is an important
- Populist sentiments arise out of geographic inequality: development of capital in one area does not ultimately lead to that capital being dispersed, creating “losers” in development

4 Connections

- Against Boix 2003 that capital is mobile and that capital mobility provides institutional consolidation
- Significant footing in median voter theorem (also present in Muller & Strom 1999)

5 My Critiques

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